

larger-cap ones. Due to its equal dollar weighting, a much larger portion of the total dollars invested in the S&P Equal Weight portfolio is invested in these smaller-cap stocks. [Figure 6.2](#) shows the Guggenheim S&P 500 Equal Weight (RSP) ETF matched up with the iShares Russell 2000 (IWM) small-cap ETF, starting in 1999 when RSP began. IWM outperforms RSP, which may be due largely to its annual expense ratio of 0.20%, versus 0.40% for RSP, and its lower annual portfolio turnover ratio of 19% versus 37%.



Figure 6.2 Guggenheim S&P 500 Equal Weight and iShares Russell 2000

[Figure 6.3](#) shows the capital market line with the return and risk plotted for the S&P 500 Index, the S&P 500 Equal Weight Index, and the U.S. stock market separated into Center for Research in Security Prices (CRSP) size deciles. CRSP 1-2 is large cap, CRSP 3-5 is mid cap, and CRSP 6-10 is small cap. Annual return is on the horizontal axis, while annual standard deviation is on the vertical axis. We see that the S&P 500 Equal Weight Index lies between mid and small cap in its reward-to-risk profile, and that it